

NielsenIQ Instant Soluble Coffee Presentation

- Case Study with Dummy Data



CASE STUDY

Your Role

- This is a role play exercise. You are to play as NielsenIQ representative for Nestle in the Instant Soluble Coffee Category.
- Pls prepare a powerpoint presentation to answer the following questions:
 1. For Nestle overall, which segments you recommend to put more resources to drive their business and why? Which competitors better perform than Nestle
 2. How will you comment on the results of Nescafe Gold Reformulation in June 04, and what are the reasons behind. What Nestle should do next?
 3. How will you recommend Nestle Taster Choice re Pricing & Promotion Strategies
- Hints:
 - Not every chart is useful for your presentation
 - You can just select & present those relevant charts and write your own comments / caption on the charts to illustrate your point.

Segmentation

Segmentation – Instant Soluble Coffee consists of 2 segments

- Segment 1 - Coffee Mix
 - instant coffee powders with sugar and milk powders (3 in 1), or either coffee with sugar or coffee with milk powder, which are packed together
- Segment 2 - Regular
 - instant coffee powders package which does not contain any sugar or milk powder.
 - usually packed in a plastic or glass bottles.

Regular Coffee consists of 2 sub-segments

- Regular - Freeze Dried – with a different production methodology, Freeze dried coffee is of better quality and more expensive than Spray Dried
 - E.g. Nescafe Gold, Taster Choice, Maxwell House 100% Freezed Dried
- Regular - Spray Dried / Non-Freeze Dried - it is positioned as cheaper price and product quality is not as good as Freeze Dried.
 - E.g. Nescafe Classic

Data Fact Explanation

- Sales Volume / Value – Consumer offtake in terms of no. of cups / retail sales value
- Price Per Pack – Retail selling price per pack
- Weighted Selling Distribution (WTD DIS) – Sales value contribution of retail outlets selling that respective brands, i.e. it is a measurement of the quality of your retailers. The higher, the better.
- Sales Value Per Weighted Distribution Point (SPPD) – Sales Value / WTD Dis. It measures the actual sales revenue of the respective brands / skus at each distribution point. The higher, the better
- Moving Annual Total (MAT) – each period indicates an aggregation of past 12-month data. E.g. MAT Apr 05 means May 04 to Apr 05
- Year to Date (YTD) – each period indicates January to the latest period. E.g. YTD Apr 05 means Jan to Apr 05

Instant Soluble Coffee

- Market Overview -

Total Instant Coffee - YTD to April05 Key Players Volume Portfolio at Key Accounts

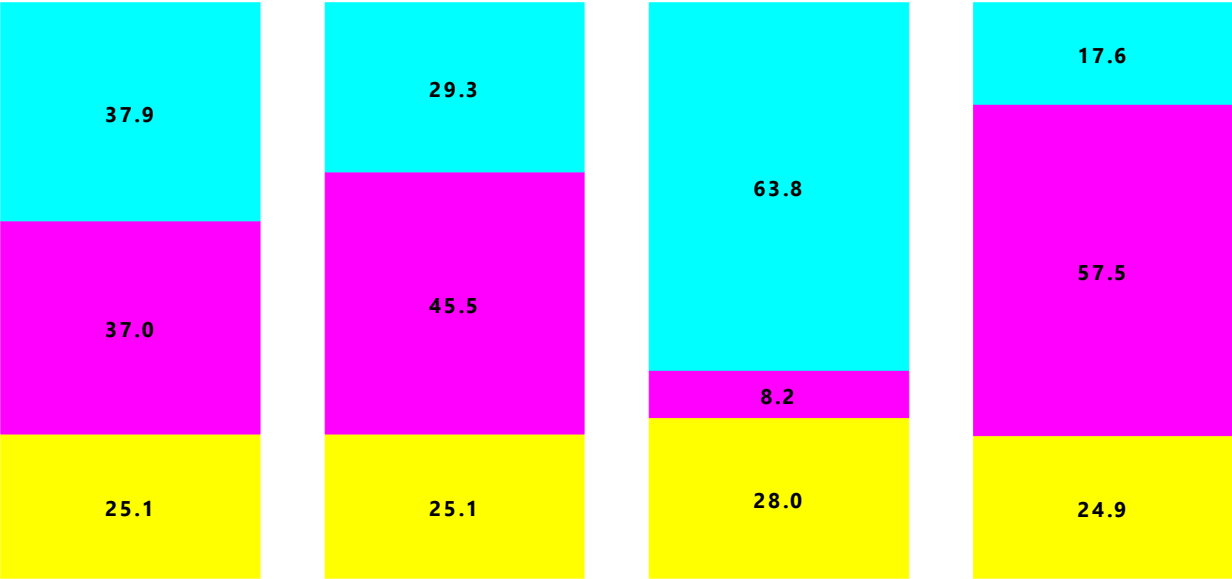
	Total Market	Nestle	Kraft	Un. Others
Volume (000 Cups)	79,061	54,116	12,665	3,087
Volume % Share	100.0	68.4	16.0	3.9

% Volume Share

COFFEE MIX

REG SPRAY DRIED

REG FREEZE DRIED

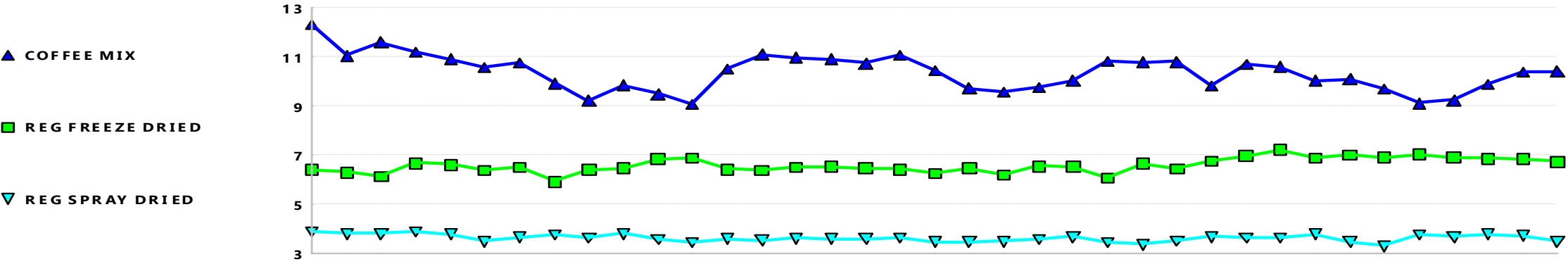


% CHG VS YA

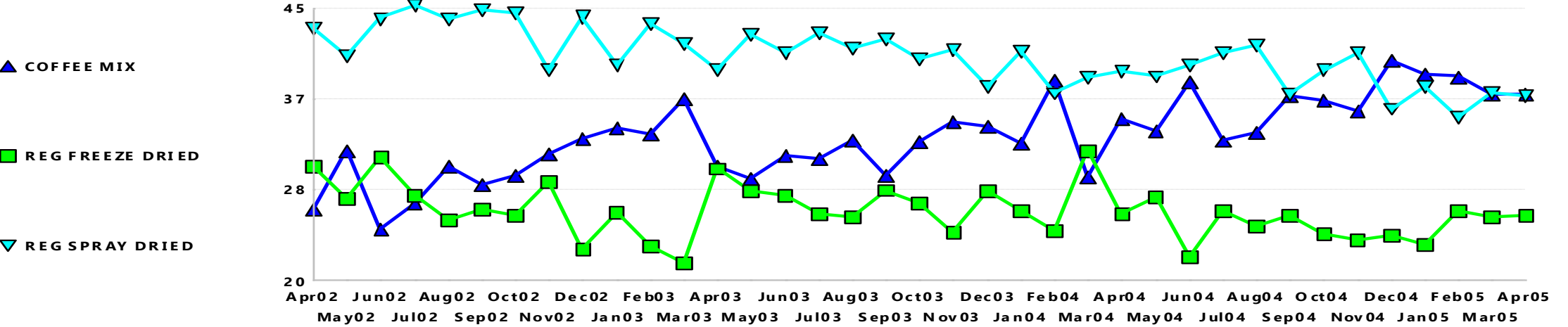
Total Instant Coffee	2	1	7	-36
REGULAR COFFEE	-5	-8	37	-35
REG FREEZE DRIED	-7	-17	73	8
REG SPRAY DRIED	-3	-2	-20	-45
COFFEE MIX	16	32	-5	-39

Total Instant Coffee - Monthly Segments Development at Total HK

Avg \$/10 Cups

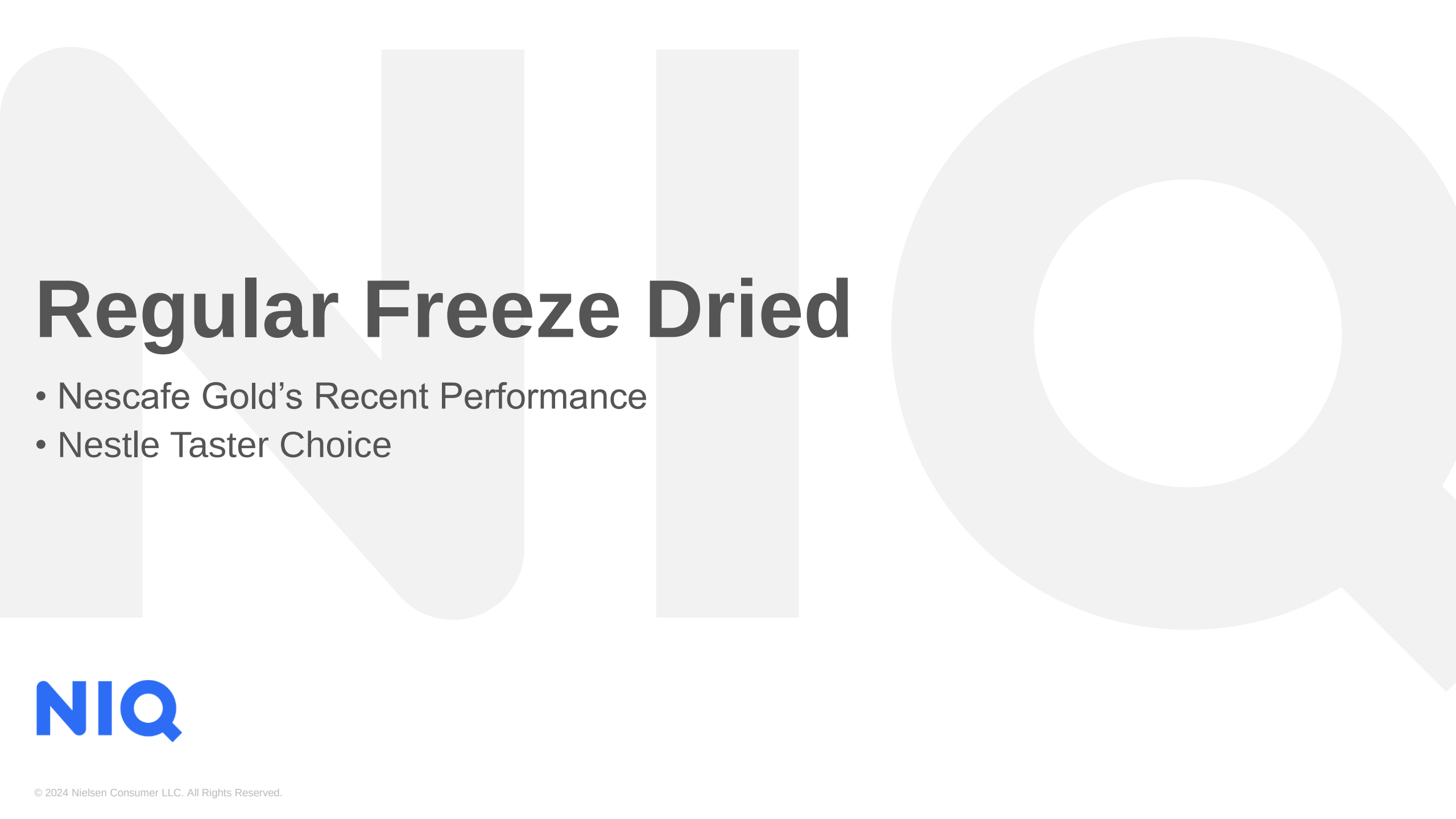


Volume % Share



Instant Coffee - YTD Brand Share Development at Key Accounts

	Sales Volume ('000Cup)			Sales Value ('000 HK\$)			AVG PRICE/10 CUPS		
	YTD Apr04	YTD Apr05	% CHG	YTD Apr04	YTD Apr05	% CHG	YTD Apr04	YTD Apr05	% CHG
TOTAL INSTANT COFFEE	77,429	79,061	2	51,082	54,188	6	6.6	6.9	4
% SHARE									
NESTLE	69.1	68.4	1	60.1	59.2	4	5.7	5.9	3
NESCAFE	61.5	60.7	1	54.7	53.3	3	5.9	6.0	3
REG COFFEE	46.1	40.6	-10	32.1	28.0	-8	4.6	4.7	3
SPRAY DRIED	32.4	31.2	-2	17.5	16.7	1	3.6	3.7	3
FREEZE DRIED	13.7	9.4	-30	14.6	11.3	-18	7.1	8.2	17
COFFEE MIX	15.5	20.1	32	22.6	25.3	19	9.6	8.6	-10
TASTER CHOICE	7.5	7.8	5	5.4	5.9	15	4.7	5.2	10
KRAFT FOOD	15.3	16.0	7	19.6	18.1	-2	8.4	7.7	-8
MAXWELL HOUSE	15.1	15.8	7	19.4	17.9	-2	8.5	7.8	-8
REG COFFEE	4.3	5.8	37	3.6	4.6	36	5.5	5.5	-1
SPRAY DRIED	1.7	1.3	-20	1.2	0.9	-25	4.9	4.6	-7
FREEZE DRIED	2.6	4.5	73	2.4	3.8	67	5.9	5.7	-3
COFFEE MIX	10.8	10.0	-6	15.8	13.3	-11	9.7	9.1	-6
GENERAL FOOD	0.2	0.3	13	0.2	0.2	7	4.7	4.5	-5
DAI PAI DONG	0.8	0.8	-4	1.6	1.5	-1	12.5	12.9	3
TSIT WING	2.7	1.9	-27	4.2	3.1	-20	10.2	11.2	10
UCC	2.6	2.3	-11	3.9	3.2	-11	9.7	9.7	-0
MR. BROWN	0.9	1.5	68	1.9	2.7	56	13.5	12.5	-7
INDOCAFE	0.1	2.1	3,755	0.1	2.5	2,958	9.9	7.9	-21
OLD TOWN	0.6	1.3	113	2.4	4.6	109	24.9	24.4	-2
OTHERS	7.8	5.6	-27	6.4	5.1	-16	5.4	6.2	15
UN. OTHERS	6.2	3.9	-36	4.2	2.7	-31	4.5	4.8	8
REG COFFEE	5.1	3.2	-35	2.4	1.6	-31	3.2	3.4	7
COFFEE MIX	1.2	0.7	-39	1.8	1.2	-31	10.2	11.5	13



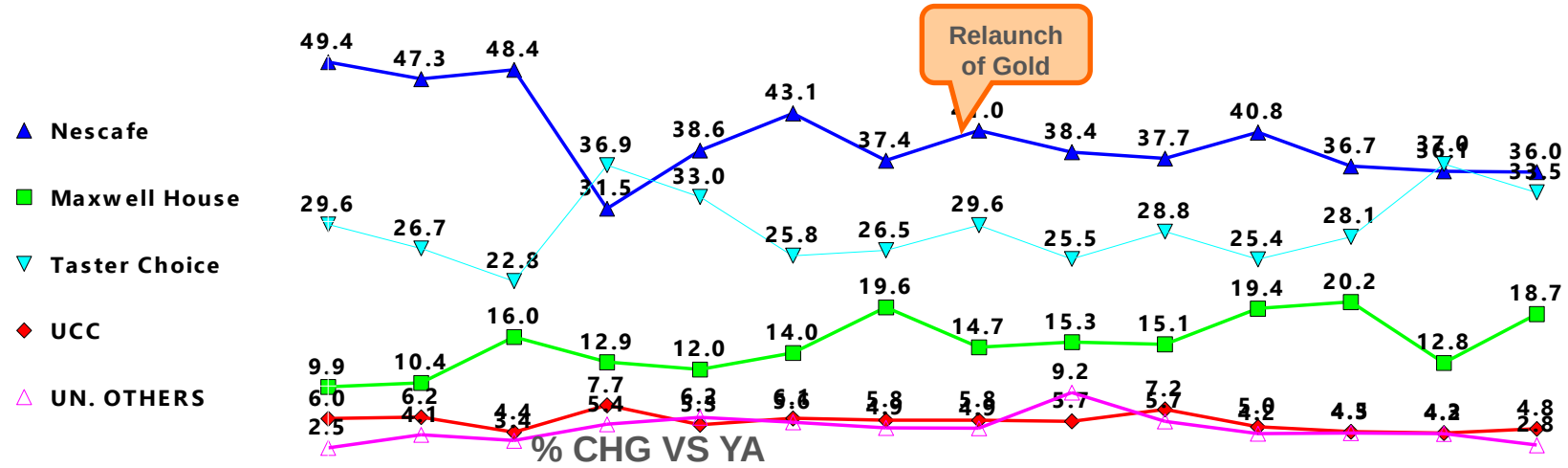
Regular Freeze Dried

- Nescafe Gold's Recent Performance
- Nestle Taster Choice



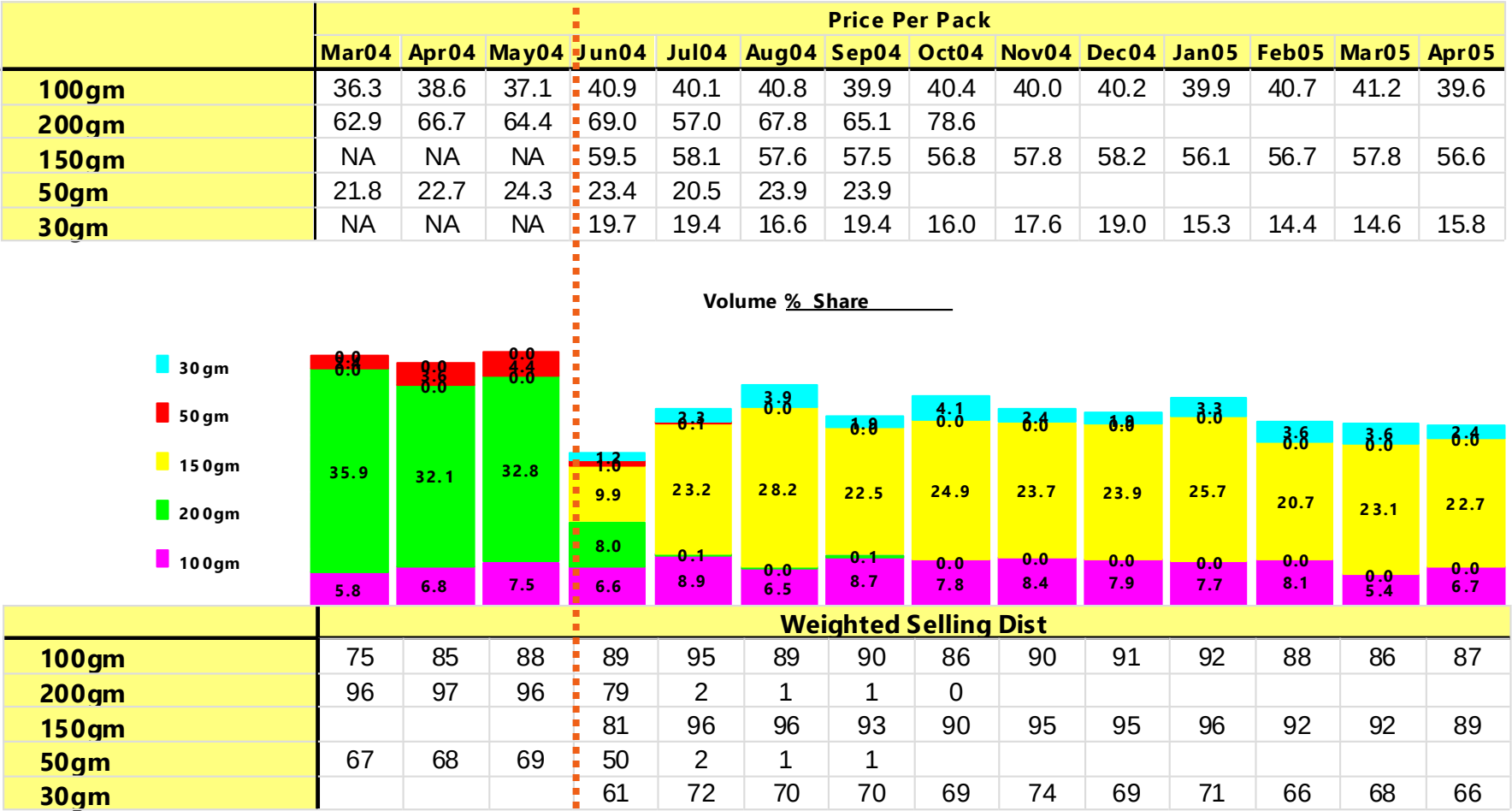
Regular Freeze Dried - Monthly Brands Volume Share Development at Key Accounts

	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
Freeze Dried	5991	4785	4203	3274	4393	3340	3855	4788	4189	4102	5366	4570	4747	5190

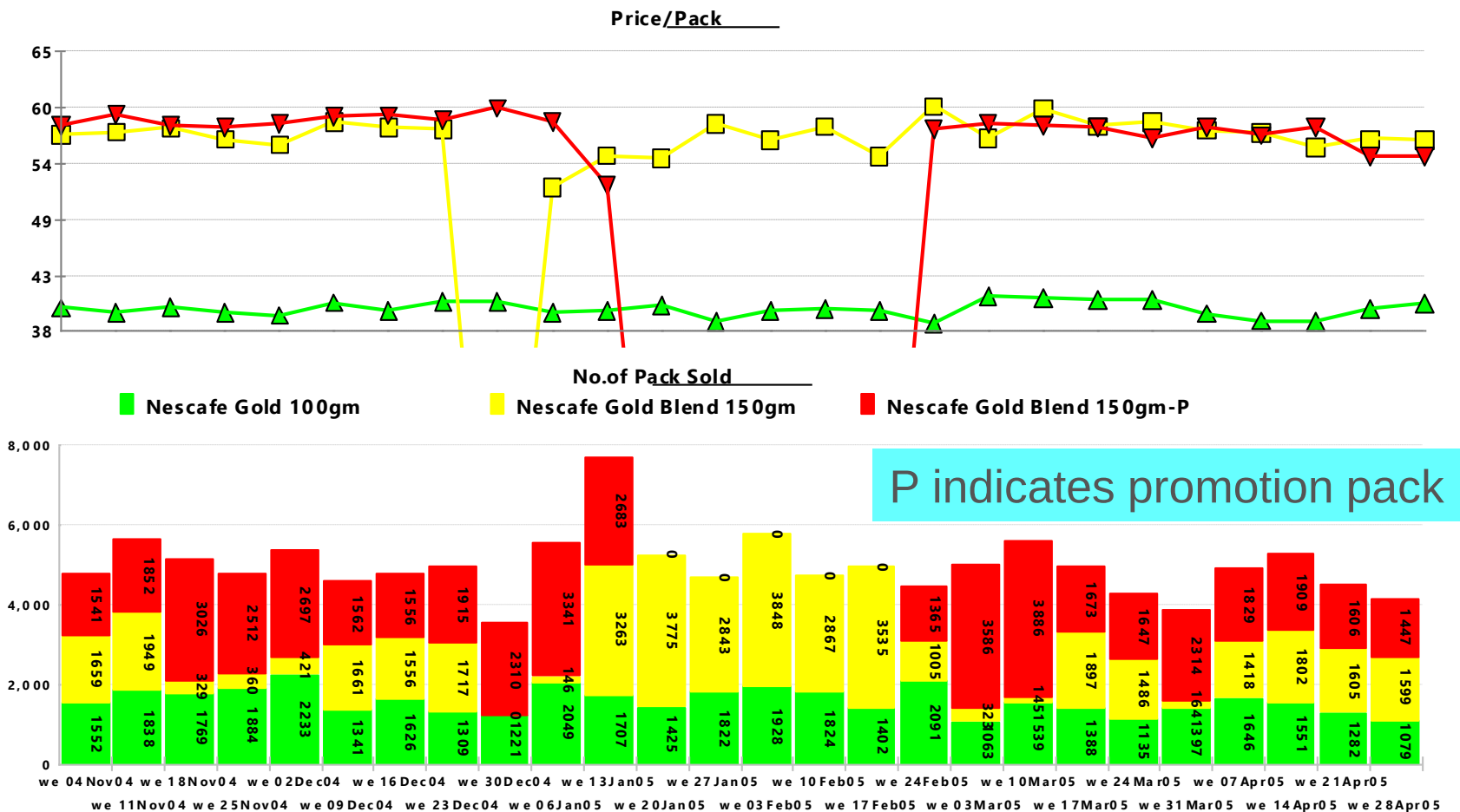


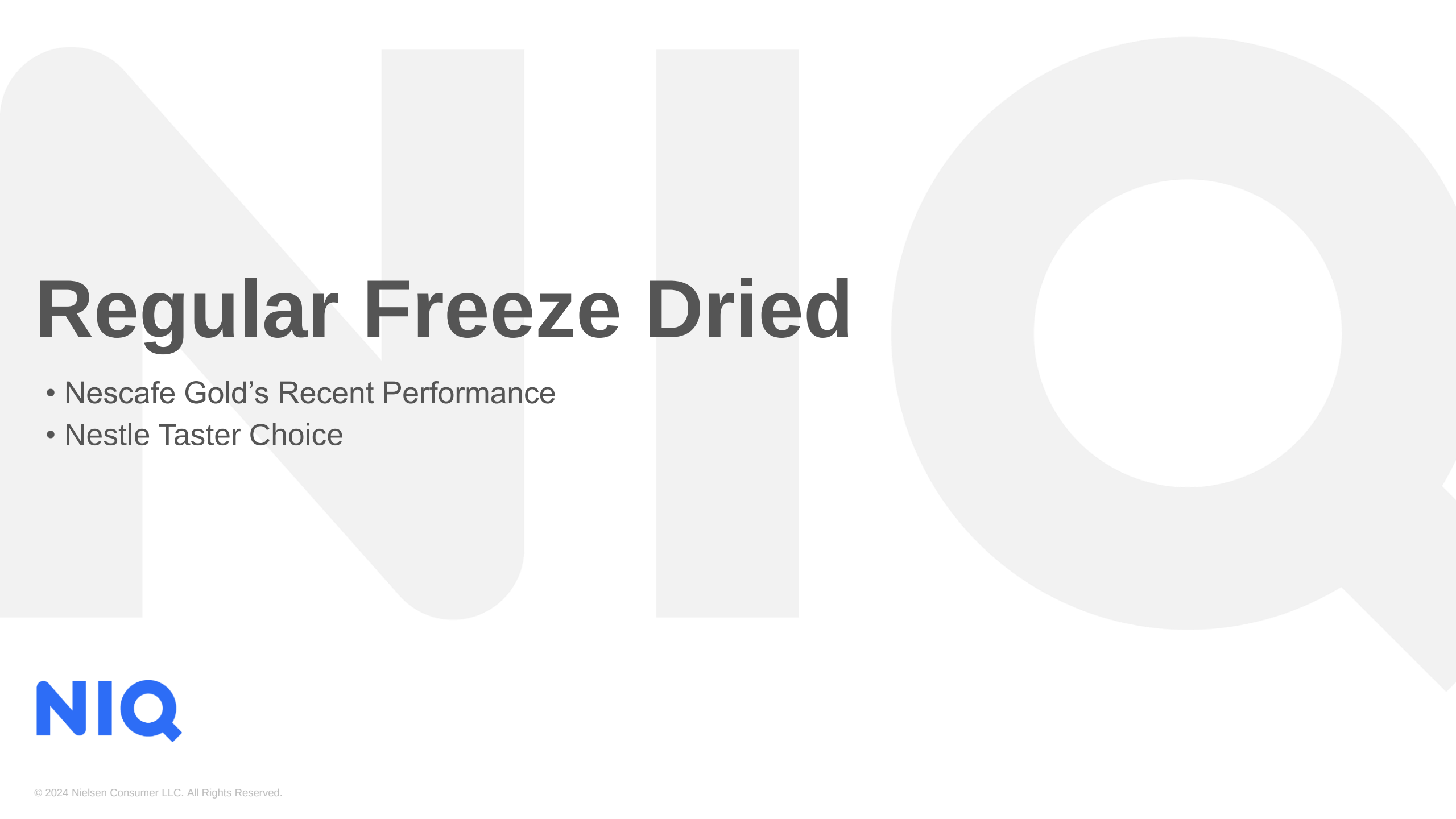
Freeze Dried	48	-22	1	-16	-3	-14	-7	-17	0	-23	-11	1	-21	8
Nescafe	29	-20	-4	-43	-29	-34	-29	-42	-34	-34	-30	-26	-42	-17
Maxwell House	103	-47	147	-49	35	17	102	-21	18	35	100	112	2	96
Taster Choice	133	-22	-32	51	20	-2	-17	90	53	-39	-13	5	-1	36
UCC	51	-19	2	36	-1	8	14	-7	19	-2	-13	-13	-44	-16
UN. OTHERS	-57	28	65	-7	103	93	71	10	102	62	12	18	33	-25

Regular Freeze Dried - Nescafe Gold Regular Monthly Development by Packsize at Key Accounts



Regular Freeze Dried - Nescafe Gold SKUs Weekly Development at Key Accounts





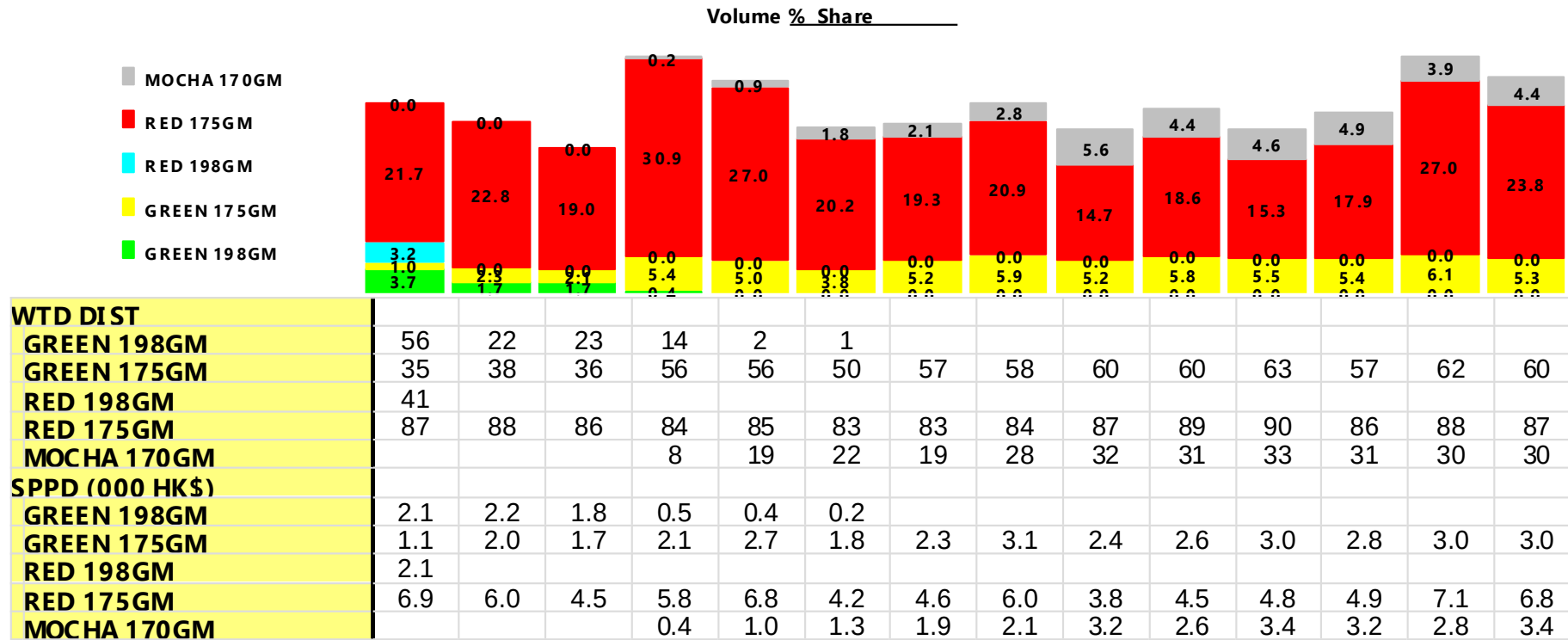
Regular Freeze Dried

- Nescafe Gold's Recent Performance
- Nestle Taster Choice

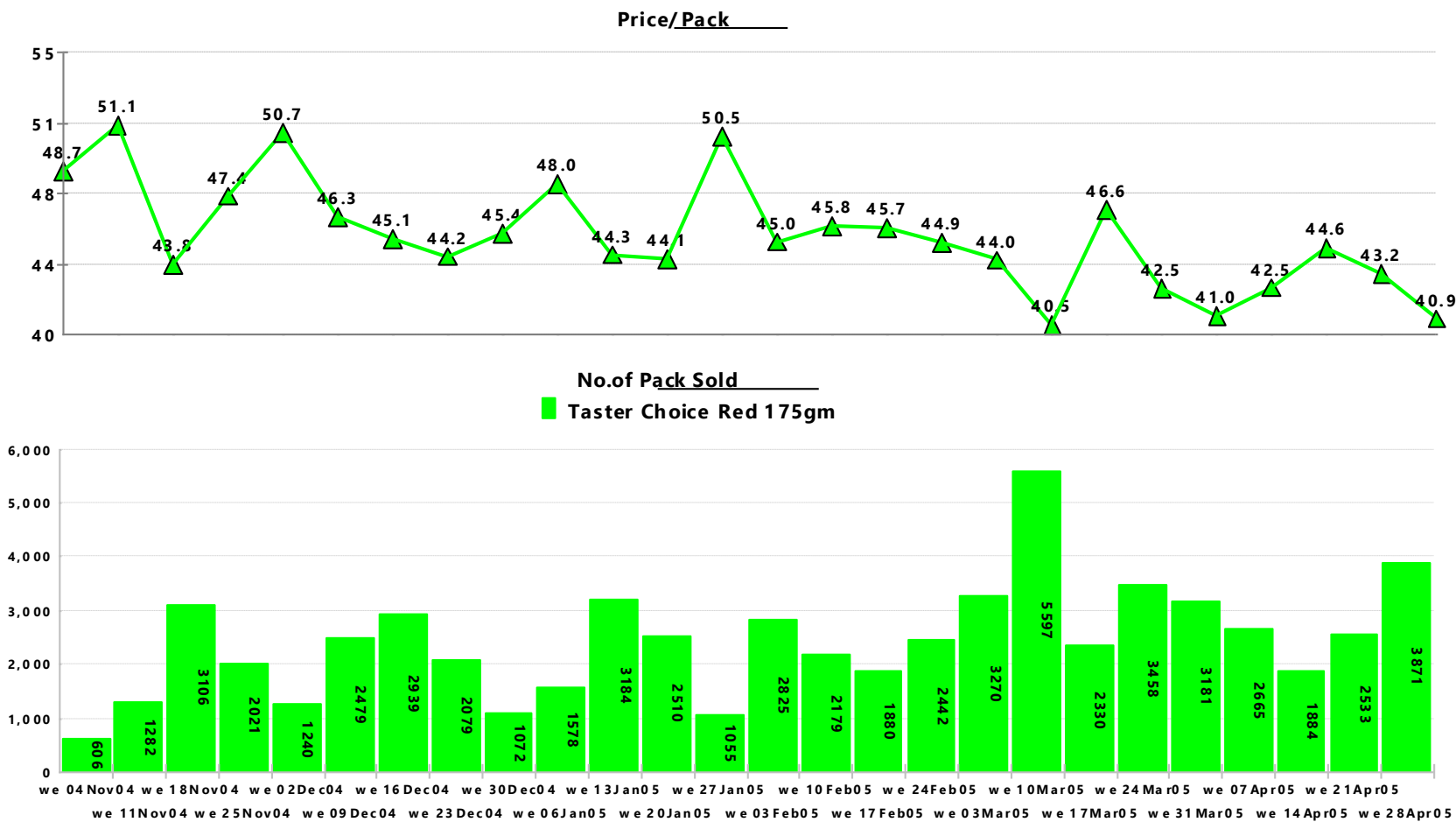


Regular Freeze Dried - Taster Choice Monthly Development by Packsize at Total HK

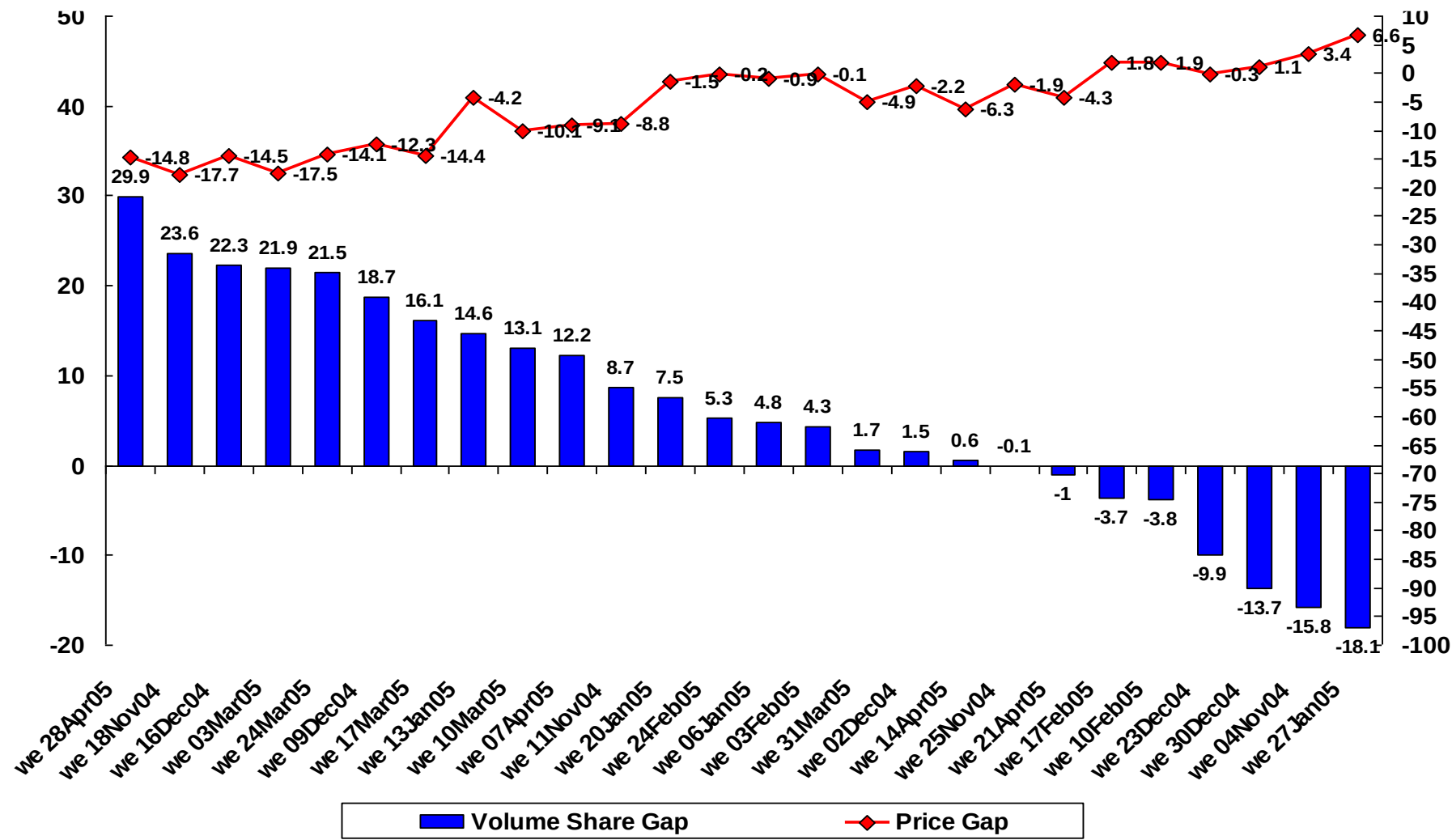
	Mar04	Apr04	May04	Jun04	Jul04	Aug04	Sep04	Oct04	Nov04	Dec04	Jan05	Feb05	Mar05	Apr05
Price Per Pack														
GREEN 198GM	53.4	59.6	59.2	62.3	59.8	58.3								
GREEN 175GM	57.6	59.8	59.6	59.5	59.4	60.9	57.9	56.9	58.1	57.2	56.9	56.6	56.4	56.9
RED 198GM	43.5													
RED 175GM	40.2	42.2	42.6	42.3	42.4	45.4	45.2	44.1	46.6	46.0	45.7	45.3	42.7	42.1
MOCHA 170GM				39.2	39.4	38.6	38.1	38.5	37.2	38.5	38.5	38.3	38.9	38.6



Regular Freeze Dried - Taster Choice Red 175gm Weekly Development at Key Accounts



Regular Freeze Dried – TC Red 175gm vs MH 100% FD 170gm Weekly Price Gap Analysis



THANK YOU!